Planning Analytical Review Question (41 marks)

It is June 20X3 and you are the audit senior planning the audit of the financial statements of Package Holiday Technology Plc ('PH Technology') for the year ended 30 September 20X3. PH Technology has been a client of your firm for several years and this is the first year you have been involved in the audit.

PH Technology is based in Dundee, Scotland, and provides holiday booking software for travel companies ('customers') in the UK and Australia. The company currently has 105 customers ranging from large well-known travel brands, to smaller independent agents.

In order to complete the audit planning, Connor Parker, the audit partner on the engagement, would like you to complete the planning analytical review. Your firm's audit data analytics ('ADA') team has provided you with results of ADA routines performed over PH Technology's management accounts for the eight month period to 31 May 20X3 (Appendix 1). Connor has filtered the results for specific accounts that he would like the audit team to focus upon from the information obtained during a meeting with Greg Robertson, chief financial officer ('CFO') of PH Technology.

However, there have been a number of known fluctuations during 20X2-X3 in PH Technology's revenue streams which the firm's ADA software did not incorporate as part of the analysis. Therefore, this has not been covered by the ADA team and Connor would instead like you to form an expectation of total revenue for the eight month period to 31 May 20X3 and calculate the deviation against actual revenue per the company's management accounts. He would also like you to evaluate the deviation and include this in your analysis of the work provided by the ADA team.

Connor has provided you with an extract from the company's revenue section of the management accounts for the eight month period to 31 May 20X3 together with notes of the meeting held with Greg Robertson (Appendix 2).

Questions

1. For the eight month period to 31 May 20X3, calculate an expectation of the total revenue of PH Technology and the deviation, if any, against the actual figure provided by the client.

(11 marks)

2. Evaluate the results of the audit data analytic exercise and your calculations for question 1 for the purpose of the planning analytical review (note: no further expectations are required to be calculated).

(30 marks)

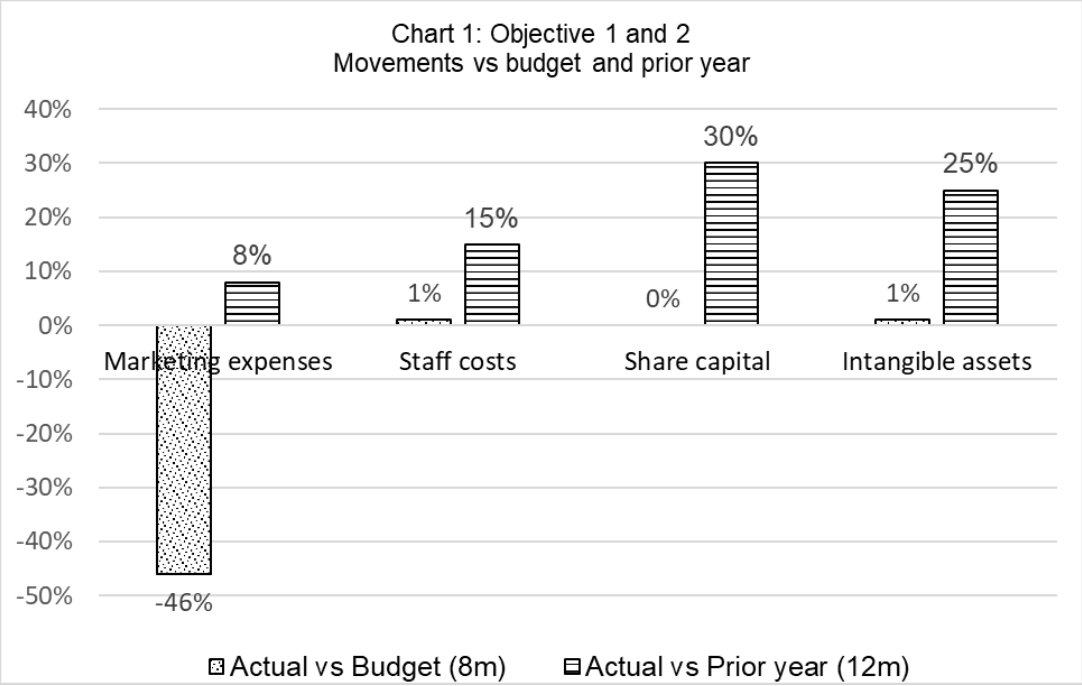
(41 marks)

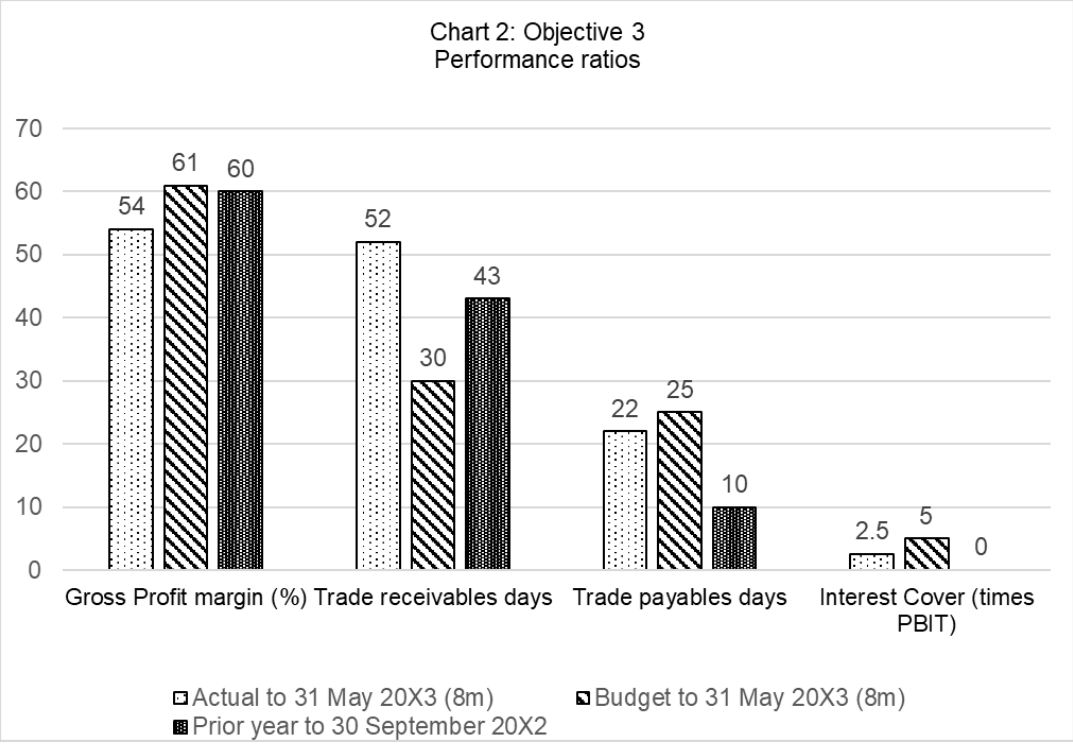
Appendix 1 – Results of audit data analytic routine: planning analytical review

Prepared by Amaya Stewart, data analytics manager, on 5 June 20X3

Section	Section Name	Further info
A	**Objectives of audit data analytic routine** Calculate % movement between actual and budget performance to 31 May 20X3 Extrapolate for 12m, 8m period to 31 May 20X3 and calculate % movements from prior year ended 30 September 20X2 Calculate requested performance ratios for 8 months to 31 May 20X3, budget and prior year.	See Section D&E
B	**Cleansing of input data**	No issues
C	**Completeness and integrity check of input data**	No issues
D&E	**Results & analysis**	See charts below

Appendix 1 (continued)





Appendix 2 – Extract of management accounts and notes of meeting with CFO

Extracts from the management accounts of PH Technology concerning revenue:

PH Technology has two sources of income:

1) Subscriptions - this is a monthly fee paid by each customer to access PH Technology's software. Provides customers with an end-to-end booking and travel management system.

2) Transactions fees - each customer pays a booking fee for each transaction processed through the PH Technology platform.

	8m actuals to 31 May 20X3	**Actual 30 Sept 20X2 (12m)**
Subscriptions	2,250,333	3,214,000
Transaction fees	1,472,000	955,000
Total	3,722,333	4,169,000

Notes of meeting held with CFO

Overall income and expenditure normally occur evenly throughout the year with no known seasonal variations. The exception to this in 20X2-X3 is revenue due to the following:

- In 20X2-X3 there were five new customer contracts won which resulted in a 5% increase in subscriptions against 20X1-X2. As a new customer promotion, transaction fees are waived in the first year of the contract. To qualify for this promotion, customers must use PH Technology's platform for at least 6 months and the transaction fees paid are refunded once this period has passed. All five new customers have qualified for this promotion.
- On 1 December 20X2 one of PH Technology's key customers, Brilliant Breaks Ltd, acquired a competitor, Happy Holidays Ltd (who was not previously a customer). Happy Holidays are a similar size to Brilliant Breaks and therefore anticipated to have similar annual transaction numbers. Despite this acquisition, Brilliant Breaks is continuing to be charged the same subscription fee.
- On 1 December 20X2 transaction fees per booking increased from 25p to 40p. This is the first time in three years that fees have been increased.

Overall transaction numbers for 20X2-X3 for customers are forecast to remain at a similar level to year ended 30 September 20X2. The table below provides details of the transactions for year ended 30 September 20X2:

	No. of transactions
Brilliant Breaks	1,500,000
Other customers	2,320,000
Total	**3,820,000**

PH Technology's five-year strategy is to acquire market share in the US, Asia and Australia. In the first quarter of 20X3, the five new contracts include two new significant customers based in Australia. The direct costs associated with these two customers has been higher compared to other customers.

Appendix 2 (continued)

In December 20X2 management engaged, at significant cost, an international marketing agency to improve website traffic and industry engagement in an effort to gain more customers. Previously marketing was carried out internally and the agency costs were not included in the annual budget. The new contracts obtained during 20X2-X3 are deemed to have arisen from this action. As the marketing agency performed so successfully, PH Technology's in-house marketing team comprising three staff members were made redundant with a generous redundancy package paid in April 20X3.

Trade Receivables & Trade Payables

PH Technology is aiming to optimise its working capital cycle by taking the following action:

1) From 1 January 20X3 the company reduced customer credit terms for settlement of invoices from 45 days to 30 days from invoice date

2) Actively delaying the payment of supplier invoices

Previously all supplier invoices were paid within a couple of days of receiving them as the finance assistant liked to deal with them straight away. The finance assistant is currently on long-term sick leave and the finance manager is dealing with all finance related matters herself. She is very busy and actively trying to recruit a new temporary finance team member to cover the absent finance assistant's duties. The finance assistant is normally responsible for chasing overdue customer invoices, however this action has not been undertaken for 3 months.

Funding

To allow the company to scale up over the next few years, PH Technology raised £3m of equity funding from existing investors. This was achieved through a share issue in March 20X3 with the shares sold at a significant premium to their par value. Overall shares in issue increased by 10%. On 1 March 20X3 PH Technology also agreed a new £1m fixed term bank loan repayable in monthly instalments over five years. The loan agreement has an interest cover covenant attached to it, which requires a minimum interest cover ratio of 4:1.

Research and Development (R&D)

PH Technology is an innovative company and known to be one of the market leaders in travel technology. As such every three to four years the company invests heavily in R&D to improve its product and stay ahead of its competitors. The eight-month period to May 20X3 has seen an extensive increase in research costs as the company seeks to enter additional foreign markets. Two key projects are expected to be taken to the development stage in quarter four of 20X2-X3. This research, as in previous years, has been undertaken by the company's sales staff who are highly trained and knowledgeable in this field.

R&D costs seen to provide economic benefit to the entity are capitalised in accordance with the company's R&D policy and amortised over five years as they are only expected to bring a limited window of additional revenue. Typically, the company's staff costs increase by 10-15% in an R&D intensive year as temporary fixed-term contractors are brought in to cover the sales staff's normal duties. During 20X2-X3, the company has undertaken extensive R&D project work and took on 15 temporary fixed term contractors.